

CHAROTAR UNIVERSITY OF SCIENCE & TECHNOLOGY (CHARUSAT)

Master of Business Administration (MBA)

Post Graduate Diploma in Management (PGDM)

Semester – III University Examination, March – 2018

MB811.2 Integrated Marketing Communication (Old)

MB811.3 Integrated Marketing Communication (New)

Date: 31.03.2018, Saturday

Time: 10:00 A.M. to 01:00 P.M.

Maximum Marks: 70

Instructions:

- 1. This paper contains six questions, of which the last one is a case analysis.**
- 2. All questions are compulsory.**
- 3. The first five questions will carry 10 marks each and the last one (case analysis) will carry 20 marks.**

- Q.1** “Money spent on advertisement is not wasteful.” Critically examine this statement with suitable examples. **10**
- Q.2** Assume that you are the marketing communications manager for a brand of paper towels. Discuss how the low involvement hierarchy could be of value in developing and advertising and promotion strategy for this brand. **10**
- Q.3** Analyze in detail how the Government of India manage citizen engagement through media (both online and offline) for positioning the recent demonetization. **10**
- Q.4** “Advertising Budget Setting requires careful integration of Corporate Objectives with Sales and Marketing Objectives.” Elaborate the given statement in the light of relation between various objectives of an organization. Also discuss various methods of drafting advertising budget. **10**
- Q.5** Explain what is meant by a central versus peripheral route to persuasion and the factors that would determine when each might be used by consumers in response to an advertisement. **10**
- Q.6** **Read the given case carefully and given answer to the question given below:** **20**

International luxury brands have captured the fantasies of the Indian diaspora quite well. Flaunting Louis Vuitton or Longines is common in select well-travelled circles. Dining at restaurants helmed by international chefs is a trend. But going beyond the limited audience and creating larger awareness is something luxury brands are still working on in India. Considering India’s population of more than 1.3 billion, that’s not an easy task. But that’s where big banner celebrity endorsers fit into the marketing strategy. From footballer David Beckham to actor Shah Rukh Khan, celebrity endorsers have raked in different kinds of reactions for multiple brands over the past years. The strategy continues to work with many luxury brands jumping onto the bandwagon by roping in Indian stars to entice consumers.

Professor Don E. Schultz of North-western University, also known as the father of integrated marketing communications, rates the importance of celebrity endorsement at roughly 7 or 8 on a scale of 10. In a paper titled “The Effectiveness of Celebrity

Endorsements: A Meta-Analysis”, published in January 2017 in the Journal of the Academy of Marketing Science, authors Johannes Knoll and Jörg Matthes say that cognitive effects of celebrity endorsement include awareness and knowledge about an endorsed object. In a white paper, luxury fashion consultant Uche Okonkwo gives five celebrity attributes to judge when selecting the perfect brand ambassador for luxury brands: credibility, global appeal, personality, uniform power (the celebrity must not overshadow the brand), and constancy (the celebrity must have lasting appeal).

Luxury brands usually require unusual marketing strategies as compared to mass brands. Typical blueprints don't work on them. But then, there is nothing higher than the power of celebrities in pushing any kind of brand into the consciousness of potential customers. Celebrities, with their large following on the streets and social media, are apt to pull in eyeballs. With their number of followers usually being in millions, luxury brands know they have much to gain by signing celebrities. Luxury brands use the power of Indian celebrities in multiple ways such as print advertising and awards night dressing. However, in an era where local, young social media users are raising as next generation influencers; does celebrity endorsement work as a marketing strategy in India? In general, celebrity endorsements are certainly an effective way of marketing communication for luxury brands. Choosing the right celebrity, based on his or her attributes and its match with the brand, is even more imperative for luxury brands since they have to guard their reputation.

(Source: livemint, March 26, 2018)

Critically evaluate the claims made in the given article regarding effectiveness of celebrity endorsement. List down and explain the factors affecting success of celebrity endorsement.